

Updated Wealth Strategy

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Updated Asset Base: \$1.9 Million
Addendum Date: November 18, 2025

What Changed: From \$300K to \$1.9M

This addendum updates your November 2025 Comprehensive Wealth Plan to reflect your actual asset position. The original plan assumed \$250K in retirement accounts plus \$50K liquid capital. Your actual situation is substantially larger and requires recalibrated strategies.

ORIGINAL PLAN ASSUMPTION	ACTUAL INVESTABLE ASSETS
\$300K	\$1.9M

Your Actual Asset Position

ACCOUNT	BALANCE	STRATEGIC PRIORITY
401(k)	\$1,500,000	Roll to Self-Directed IRA for Bitcoin/alternative assets

Roth IRA	\$100,000	Transfer to Roth SDIRA, 100% Bitcoin for tax-free growth
Brokerage	\$250,000	Property down payment OR Bitcoin accumulation
Annual Cash Flow	\$50,000	Bitcoin DCA \$24K + Backdoor Roth \$14K + reserves \$12K
TOTAL	\$1,900,000	Foundation for \$5M-\$10M+ wealth in 10-15 years

Updated Year-One Value Projection

Conservative Plan: \$299,000 in year-one value (tax savings \$78K + Bitcoin appreciation \$160K + real estate \$36K + distributions \$25K)

Aggressive Plan: \$758,000 in year-one value (tax savings \$140K + Bitcoin appreciation \$428K + real estate \$90K + distributions \$50K + consulting income \$50K)

The original plan projected \$111K-\$258K in year-one value. With your actual \$1.9M asset base, you're positioned for 2.5x to 3x those results.

The \$1.5M 401(k): Your Biggest Opportunity

Your 401(k) represents 79% of your total investable assets and your single largest wealth optimization opportunity. Most people never accumulate this level of capital in retirement accounts. You've done the hard part. Now we need to deploy it strategically.

Why Rolling to Self-Directed IRA Changes Everything

Your current 401(k) likely limits you to a menu of mutual funds, target-date funds, and perhaps company stock. These are fine for average returns, but you're not pursuing average results. A Self-Directed IRA unlocks:

- **Direct Bitcoin ownership:** Not Bitcoin ETFs with management fees and counterparty risk, but actual Bitcoin you control through qualified custody
- **Alternative income assets:** STRC/STRF generating 10-12% annual distributions, Bitcoin mining stocks, private credit opportunities
- **Real estate investments:** Your SDIRA can purchase rental properties, fund fix-and-flips, or invest in syndications
- **Tax optimization:** Position for strategic Roth conversions during low-income years to minimize lifetime taxes

Critical Question for December 1 Meeting

Does your 401(k) plan allow in-service rollovers while you're still employed?

This determines your timeline. If yes, we start the rollover process immediately. If no, we need to understand:

- Are you planning to leave your current employer in the near term?
- Could you reduce to part-time status to trigger rollover eligibility?
- What's your expected timeline for employment transition?



Bring your 401(k) plan documents to the meeting. We'll review the rollover provisions together and develop your specific timeline.

The Rollover Process: What to Expect

Rolling \$1.5M from a 401(k) to a Self-Directed IRA is straightforward but requires precision. Here's the 6-week timeline:

Week 1: Custodian Selection

Choose your Self-Directed IRA custodian. For accounts over \$1M, I recommend Equity Trust or Rocket Dollar. Equity Trust has the most established infrastructure for large accounts and institutional-quality custody. Rocket Dollar provides checkbook control through an LLC structure, giving you faster execution on investment decisions. Both handle Bitcoin custody, real estate transactions, and alternative investments. Annual fees for \$1.5M accounts run \$800-\$1,500 depending on custodian and asset types held.

Week 2: Account Opening

Complete SDIRA application, provide identification and tax documents, designate beneficiaries, and review investment options and fee schedules. This is administrative work that takes 3-5 hours total. The custodian's onboarding team will guide you through each step.

Week 3: Initiate Transfer

Request a direct trustee-to-trustee transfer from your 401(k) to your new SDIRA. This is critical: do NOT take a distribution. The transfer must go directly between custodians to avoid any tax consequences. Your SDIRA provider will give you transfer paperwork to submit to your 401(k) administrator. Some 401(k) custodians process transfers quickly; others take 4-6 weeks. This is the step most likely to experience delays.

Weeks 4-6: Transfer Processing

Your 401(k) custodian liquidates holdings, processes the transfer request, and sends funds to your SDIRA custodian. During this period, your money is temporarily out of the market. For a \$1.5M transfer, this creates some timing risk if markets move significantly. Most transfers complete in 3-4 weeks total, though some take up to 8 weeks if the 401(k) administrator is slow or difficult.

Week 7: Funds Available

Once funds arrive in your SDIRA, you have immediate access to begin investing. Your custodian will confirm receipt and available balance. At this point, you're ready to execute your allocation strategy.

Deployment Strategy: Lump Sum vs. Dollar-Cost Averaging

You have \$1.5M landing in your SDIRA. How should you deploy it? Two competing approaches:

Approach 1: Immediate Lump-Sum Allocation

Deploy the full \$1.5M into your target allocation within 30 days of funds arriving. Allocate \$1.05M to Bitcoin immediately (70%), \$225K to STRC/STRF income products (15%), \$150K to cash reserves (10%), and \$75K to opportunistic accelerators (5%). The advantage is you're immediately positioned according to your strategy with no timing games. The risk is if Bitcoin experiences a 30-40% drawdown in the months after you buy, you'll feel significant regret.

Approach 2: 12-Month Dollar-Cost Averaging

Deploy \$125K per month over 12 months into your target allocation. Each month: \$87,500 into Bitcoin, \$18,750 into STRC/STRF, \$12,500 into cash reserves, and \$6,250 into accelerators. The advantage is you reduce timing risk and sleep better at night knowing you're not fully exposed to one price point. The disadvantage is if Bitcoin appreciates 50-100% during your DCA period (which happens regularly in bull markets), you'll miss substantial gains by staying in cash.

My Recommendation: Modified 6-Month DCA

Deploy 40% (\$600K) immediately to establish your position, then dollar-cost average the remaining 60% (\$900K) over 6 months at \$150K per month. This gives you meaningful exposure from day one while reducing timing risk.

Immediate deployment (Day 1):

- Bitcoin: \$420K (70% of first tranche)
- STRC/STRF: \$90K (15%)
- Cash reserves: \$60K (10%)

- Accelerators: \$30K (5%)

Monthly DCA (Months 1-6): \$150K per month

- Bitcoin: \$105K monthly
- STRC/STRF: \$22,500 monthly
- Cash: \$15,000 monthly
- Accelerators: \$7,500 monthly

Result after 6 months: \$1.05M in Bitcoin, \$225K in STRC/STRF, \$150K cash reserves, \$75K accelerators. You're fully invested while having averaged your Bitcoin cost basis over 6 months.

Investment Allocation Strategy: Three Models

With \$1.9M in total investable assets, your allocation strategy determines your wealth trajectory over the next 10-20 years. Here are three portfolio models ranging from aggressive to conservative. Choose based on your Bitcoin conviction, risk tolerance, and time horizon to retirement.

Model 1: Aggressive Bitcoin-Dominant (70-75% BTC)

ASSET CLASS	ALLOCATION %	AMOUNT	DEPLOYMENT SOURCE	ANNUAL INCOME
Bitcoin	70-75%	\$1,330,000 - \$1,425,000	401k SDIRA: \$1,050K Roth SDIRA: \$100K Brokerage: \$180K-\$275K Annual DCA: \$24K	-
STRC/STRF Income	10-12%	\$190,000 - \$228,000	401k SDIRA: \$190K-\$228K	\$19K-\$27K
Real Estate (STR)	8-10%	\$150,000 - \$190,000	HELOC or brokerage cash	\$30K-\$50K
Accelerators (IREN/CIFR)	5%	\$95,000	401k SDIRA or brokerage	-
Cash Reserves	3-5%	\$57,000 - \$95,000	401k SDIRA + annual flow	-

Profile: This model is for maximum Bitcoin conviction. At age 33 with a \$300K+ income, you can absorb volatility. If Bitcoin compounds at 25-30% annually (below its historical average),

your \$1.4M position becomes \$8.7M-\$11.8M in 10 years. Even at a conservative 20% CAGR, you reach \$7.3M in 10 years from Bitcoin alone.

Risk Factors: Bitcoin regularly experiences 40-50% drawdowns during bear markets. In 2022, Bitcoin declined from \$69K to \$16K (77% decline). Your \$1.4M position could temporarily drop to \$322K in a severe bear market. However, Bitcoin has recovered from every previous bear market and reached new all-time highs. With a 10-year holding period, you can ride out multiple cycles.

10-Year Projection: At 25% Bitcoin CAGR, 5% real estate appreciation, and 10% STRC/STRF returns, this portfolio grows to \$11M-\$14M. Your \$1.9M becomes \$11M+ through compounding and strategic rebalancing.

Model 2: Balanced Growth (55-60% BTC)

ASSET CLASS	ALLOCATION %	AMOUNT	DEPLOYMENT SOURCE	ANNUAL INCOME
Bitcoin	55-60%	\$1,045,000 - \$1,140,000	401k SDIRA: \$800K Roth SDIRA: \$100K Brokerage: \$145K-\$240K Annual DCA: \$24K	-
STRC/STRF Income	20-22%	\$380,000 - \$418,000	401k SDIRA: \$380K-\$418K	\$38K-\$50K
Real Estate (STR)	11-13%	\$209,000 - \$247,000	HELOC or brokerage cash	\$40K-\$65K
Accelerators	5%	\$95,000	401k SDIRA or brokerage	-
Cash Reserves	7-9%	\$133,000 - \$171,000	401k SDIRA + annual flow	-

Profile: This model balances Bitcoin upside with meaningful income generation. The 20-22% allocation to STRC/STRF produces \$38K-\$50K in annual distributions, creating cash flow for living expenses or reinvestment. This reduces sequence-of-returns risk if Bitcoin experiences extended bear market during your early retirement years.

Risk Factors: Still concentrated in Bitcoin at 55-60%, but the higher income allocation provides stability. During Bitcoin bear markets, your STRC/STRF distributions continue, and you can deploy those distributions into Bitcoin at depressed prices. This creates a natural rebalancing mechanism.

10-Year Projection: At 20% Bitcoin CAGR, 5% real estate appreciation, and 10% STRC/STRF returns, this portfolio grows to \$8M-\$10M. More conservative than Model 1 but still positioned for exceptional wealth creation.

Model 3: Conservative Diversified (36-40% BTC)

ASSET CLASS	ALLOCATION %	AMOUNT	DEPLOYMENT SOURCE	ANNUAL INCOME
Bitcoin	36-40%	\$684,000 - \$760,000	401k SDIRA: \$500K Roth SDIRA: \$100K Brokerage: \$84K-\$160K Annual DCA: \$24K	-
STRC/STRF Income	30%	\$570,000	401k SDIRA: \$570K	\$57K-\$68K
Real Estate (STR)	16%	\$304,000	HELOC or brokerage cash	\$60K-\$80K
Accelerators	5%	\$95,000	401k SDIRA or brokerage	-
Cash Reserves	13%	\$247,000	401k SDIRA + annual flow	-

Profile: This model prioritizes income and capital preservation while maintaining Bitcoin exposure for upside. With \$57K-\$68K in STRC/STRF distributions plus \$60K-\$80K in real estate cash flow, you're generating \$117K-\$148K in annual passive income from your portfolio. This could replace a significant portion of your W-2 income within 3-5 years.

Risk Factors: Lower Bitcoin allocation means less upside capture during bull markets. If Bitcoin increases 10x over the next decade, your \$760K position becomes \$7.6M, but the \$1.4M position in Model 1 would have become \$14M. The tradeoff is you sleep better at night with diversified income streams and less volatility.

10-Year Projection: At 20% Bitcoin CAGR, 5% real estate appreciation, and 10% STRC/STRF returns, this portfolio grows to \$6M-\$7.5M. The most conservative approach, but still positions you for significant wealth accumulation and strong passive income.

My Recommendation: Start with Model 1, Rebalance Over Time

At age 33 with 25+ years until traditional retirement age, you can afford aggressive positioning. Your \$300K+ W-2 income provides a safety net if markets disappoint. The asymmetric return profile of Bitcoin favors concentration: downside is manageable (you have income to rebuild), upside is life-changing (financial independence by age 40-45).

Implementation approach:

- **Years 1-5:** Maintain Model 1 aggressive allocation (70-75% Bitcoin). If Bitcoin performs even moderately well, your portfolio reaches \$4M-\$7M by year 5.
- **Years 6-10:** If Bitcoin has performed (portfolio now \$5M+), begin gradual rebalancing toward Model 2 balanced allocation. Take profits from Bitcoin into income-generating assets.
- **Years 11+:** Transition toward Model 3 conservative allocation as you approach retirement. Preserve capital and maximize income.

This approach captures maximum upside during your accumulation years while providing a clear path to capital preservation as you near retirement. Most importantly, it gives you optionality: if Bitcoin dramatically outperforms, you can retire early. If it underperforms, you still have your W-2 income and other assets growing.

The \$100K Roth IRA: Your Tax-Free Bitcoin Vault

Your \$100K Roth IRA deserves special attention. This account has a unique superpower: tax-free growth forever. Every dollar of appreciation in this account is yours to keep, with zero taxes on withdrawal after age 59½. This makes it the perfect vehicle for your most aggressive allocation.

The Strategy: 100% Bitcoin in Roth SDIRA

Transfer your \$100K Roth IRA to a Roth Self-Directed IRA and allocate 100% to Bitcoin. Here's why:

Tax-free compounding is the most powerful force in wealth building. If Bitcoin compounds at 25% annually (conservative by historical standards), your \$100K Roth becomes \$931K in 10 years and \$8.6M in 20 years. All withdrawable tax-free. Compare this to a taxable brokerage account where you'd pay 15-20% capital gains tax on every dollar of appreciation, or a traditional 401(k) where you pay ordinary income tax on withdrawals.

You can afford maximum volatility in this account. Unlike your traditional 401(k) SDIRA where you'll need distributions eventually, your Roth IRA has no required minimum distributions. You can let it compound for 25+ years without touching it. This time horizon allows you to ride out multiple Bitcoin cycles and capture asymmetric returns.

Backdoor Roth contributions accelerate the strategy. Add \$7,000 annually to your Roth SDIRA through Backdoor Roth IRA contributions. Over 20 years, that's \$140K in additional principal (\$7,000 × 20 years). If those contributions also compound at 25% annually, the cumulative impact is massive.

Roth SDIRA vs. Traditional SDIRA: Key Differences

FEATURE	TRADITIONAL SDIRA (\$1.5M FROM 401K)	ROTH SDIRA (\$100K + \$7K/YEAR)
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Tax on Contributions	Pre-tax (already received deduction)	Post-tax (no deduction on contributions)
Tax on Growth	Tax-deferred (pay later)	Tax-free forever
Tax on Withdrawals	Ordinary income tax (32-35%+ rate)	Zero taxes
Required Distributions	Yes, starting age 73 (RMDs)	No RMDs during owner's lifetime
Optimal Allocation	Balanced: Bitcoin + income assets	Aggressive: 100% highest-growth assets

The Roth Conversion Ladder Opportunity

Your \$1.5M traditional 401(k) SDIRA creates a long-term tax optimization opportunity through strategic Roth conversions. Here's how it works:

Each year, you can convert a portion of your traditional IRA to Roth IRA. You pay income tax on the converted amount in that year, but then all future growth is tax-free. The key is converting during years when your income is lower, minimizing the tax cost of conversion.

Ideal conversion scenarios:

- **Early retirement years:** If you retire at age 50-55, you'll have years before Social Security and RMDs begin. During these years, your taxable income could be minimal. Convert \$80K-\$120K per year from traditional to Roth, paying tax at low rates (12-22% federal).
- **Market downturn years:** If Bitcoin experiences a 50% drawdown, convert when values are temporarily depressed. You pay tax on the lower value, then capture all the recovery gains tax-free in the Roth.
- **Gap years:** If you take a sabbatical, start a business that has early losses, or have any year with reduced W-2 income, that's conversion opportunity.

Example conversion ladder over 15 years:

Convert \$100K per year from traditional IRA to Roth IRA starting at age 50. Pay approximately \$30K-\$35K in taxes annually (assuming 30-35% effective rate). After 15 years, you've

converted \$1.5M from traditional to Roth, paid \$450K-\$525K in taxes, and now have \$1.5M+ growing tax-free forever. If Bitcoin continues compounding, that \$1.5M Roth could be worth \$15M-\$30M by age 70, all withdrawable tax-free.

Compare this to leaving everything in traditional IRA: at age 73, RMDs force you to withdraw and pay taxes at potentially higher rates (35-37% federal). Over 20 years of RMDs, you could pay \$1M+ in taxes versus \$500K through strategic conversions.

Action Item: Transfer Roth IRA to Roth SDIRA

Initiate the transfer of your \$100K Roth IRA to a Roth Self-Directed IRA simultaneously with your 401(k) rollover. Many SDIRA custodians (Equity Trust, Rocket Dollar) can handle both traditional and Roth SDIRAs under one account relationship.

Timeline:

- Week 1-2: Open both Traditional SDIRA and Roth SDIRA accounts
- Week 2-3: Initiate 401(k) rollover to Traditional SDIRA and Roth transfer to Roth SDIRA
- Week 6-8: Both transfers complete, funds available for investment
- Week 8: Allocate Roth SDIRA 100% to Bitcoin (\$100K), allocate Traditional SDIRA according to chosen model

The \$250K Brokerage Account: Property or Bitcoin?

Your \$250K taxable brokerage account presents a clear strategic choice: deploy as down payment on rental property or allocate to additional Bitcoin accumulation. Both paths have merit. The decision depends on your real estate conviction and portfolio balance preferences.

Option A: Deploy \$200K-\$225K as Property Down Payment

Use brokerage funds to purchase a short-term rental property in a strong tourism market. With \$200K-\$225K down payment, you can acquire a \$700K-\$900K property using conventional investment property financing.

Example property acquisition in Poconos, PA:

ITEM	AMOUNT
Purchase Price	\$800,000
Down Payment (25%)	\$200,000
Closing Costs	\$20,000
Furniture & Setup	\$30,000
Total Cash Required	\$250,000
Loan Amount	\$600,000
Monthly Mortgage (7% rate)	\$3,992
Property Tax & Insurance	\$1,200
Total Fixed Costs	\$5,192/month

Projected annual performance:

- Gross rental income: \$114,000 (\$9,500/month average)
- Variable costs (utilities, cleaning, supplies, platform fees): \$27,600 (24% of revenue)
- Fixed costs: \$62,304 annually
- **Annual cash flow: \$24,096**
- Cash-on-cash return: $\$24,096 \div \$250,000 = 9.6\%$
- Property appreciation (4% annually): \$32,000
- Principal paydown (years 1-5 average): \$7,500 annually
- **Total annual return: \$63,596 (25.4%)**

Tax benefits: Order cost segregation study immediately after closing. Study identifies \$250K-\$350K in accelerated depreciation (5-15 year property vs 27.5 year residential). This creates \$60K-\$100K in first-year depreciation deductions, potentially offsetting all rental income and creating \$20K-\$40K in losses you can use against other income if you qualify for Real Estate Professional status.

Advantages of property acquisition:

- Diversifies your portfolio beyond Bitcoin concentration
- Generates meaningful cash flow (\$24K annually = \$2,000/month)
- Provides hard asset with tangible value and utility
- Creates tax benefits through depreciation
- Can be refinanced or sold for liquidity if needed

Disadvantages:

- Illiquid investment (can't easily convert back to cash)
- Operational complexity (guest management, maintenance, regulations)
- Concentration risk in single property and single market
- Missed opportunity if Bitcoin appreciates 100-200% in next 2-3 years

Option B: Allocate \$180K-\$230K to Additional Bitcoin

Deploy brokerage funds to Bitcoin accumulation, increasing your total Bitcoin allocation from \$1.2M-\$1.4M to \$1.4M-\$1.6M (adding \$180K-\$230K from brokerage, keeping \$20K-\$70K in cash reserves).

Deployment strategy: Dollar-cost average \$180K-\$230K into Bitcoin over 6-12 months. Execute \$15K-\$20K purchases monthly through Coinbase or River Financial. This gives you meaningful additional exposure while averaging your entry price.

Projected returns:

BITCOIN ANNUAL RETURN	3-YEAR VALUE	5-YEAR VALUE	10-YEAR VALUE
15% (conservative)	\$274,000	\$363,000	\$730,000
25% (moderate)	\$352,000	\$549,000	\$1,674,000
35% (historical average)	\$451,000	\$822,000	\$3,544,000

Advantages of additional Bitcoin:

- Maximizes your highest-conviction asset
- Completely liquid (can sell for cash within 24 hours)
- No operational complexity or time commitment
- If Bitcoin enters bull market, captures maximum upside
- Maintains portfolio simplicity

Disadvantages:

- Increases Bitcoin concentration to 75-80% of total portfolio
- No cash flow generation (Bitcoin doesn't produce income)
- Higher volatility exposure
- Missed opportunity for tax benefits from real estate depreciation

My Recommendation: Option A (Property Acquisition)

Deploy your \$250K brokerage account to acquire a short-term rental property. Here's my reasoning:

1. Diversification value: With \$1.05M-\$1.33M already allocated to Bitcoin from your retirement accounts, you have substantial crypto exposure. Adding real estate creates balance and reduces portfolio volatility.

2. Cash flow benefit: The property generates \$24K annually in cash flow, which you can deploy however you choose (including buying more Bitcoin). This creates optionality.

3. Tax optimization: Cost segregation generates \$20K-\$40K in tax savings year one, effectively recovering 10-16% of your capital outlay immediately through reduced taxes.

4. Hard asset value: Real estate provides inflation hedge and tangible asset value. If Bitcoin disappoints or cryptocurrency faces regulatory challenges, you have real estate value to fall back on.

5. Learning opportunity: Acquiring and operating a property teaches you real estate investing skills. If it goes well, you can acquire additional properties. If it underperforms, you've learned what not to do with limited capital exposure (\$250K vs. your full \$1.9M portfolio).

The counterargument is if you believe Bitcoin will 5x-10x in the next 3-5 years, Option B captures more upside. But with \$1M+ already in Bitcoin, you're well-positioned for that scenario. The marginal benefit of an additional \$200K in Bitcoin is less than the diversification and cash flow value of property acquisition.

Hybrid Approach: Property with Bitcoin Allocation

A third option splits the difference: deploy \$220K to property acquisition (down payment + closing + furniture) and keep \$30K for additional Bitcoin accumulation. This gives you property ownership while maintaining some Bitcoin optionality.

The \$30K Bitcoin allocation could be deployed immediately or dollar-cost averaged over 6 months at \$5K per month. Small enough not to materially impact your overall portfolio but large enough to feel like you're capturing Bitcoin upside if markets run.

Updated Year-One Value Breakdown

With your actual \$1.9M asset base, here's what you can realistically expect to create in value during your first year of implementation. We present both conservative and aggressive scenarios so you understand the range of outcomes.

Conservative Scenario: \$299,000 First-Year Value

VALUE SOURCE	AMOUNT	EXPLANATION
Tax Strategies	\$78,000	All 12 tax strategies at conservative end of ranges
W-4 Cash Flow	\$12,000	Monthly take-home increase through reduced withholding
Bitcoin Appreciation	\$160,000	\$1.05M Bitcoin position appreciating 15% over year
STRC/STRF Income	\$24,000	\$225K allocation generating 10-11% distributions
Real Estate Cash Flow	\$25,000	STR property generating net cash flow (partial year)
TOTAL YEAR ONE	\$299,000	Conservative implementation, modest market returns

Assumptions: Tax strategies implemented at lower end of estimated ranges. Bitcoin appreciates only 15% (well below historical 100-150% annual averages but conservative given market uncertainty). STRC/STRF performs at lower end of expected distribution rates. STR property acquired in month 10-12, generating only partial-year cash flow. No property appreciation or principal paydown included (too early to capture).

This scenario represents what you should achieve even if execution is imperfect, markets are mediocre, and you encounter normal startup challenges. It's deliberately conservative to set realistic expectations.

Aggressive Scenario: \$758,000 First-Year Value

VALUE SOURCE	AMOUNT	EXPLANATION
Tax Strategies	\$140,000	All 12 strategies maximized at high end of ranges
W-4 Cash Flow	\$12,000	Monthly take-home increase (same as conservative)
Bitcoin Appreciation	\$428,000	\$1.42M Bitcoin position appreciating 30% (bull market)
STRC/STRF Income	\$48,000	\$380K allocation generating 12-13% distributions
Real Estate Cash Flow	\$40,000	STR property with strong occupancy and rates
Property Appreciation	\$40,000	\$800K property appreciating 5% annually
Consulting Income (Net)	\$50,000	LLC consulting business generating profit
TOTAL YEAR ONE	\$758,000	Aggressive execution, strong market performance

Assumptions: All tax strategies implemented at high end of ranges with meticulous documentation and CPA support. Bitcoin enters bull market phase and appreciates 30% (still conservative compared to previous bull years where Bitcoin increased 100-300%). STRC/STRF performs at high end of distribution range. STR property acquired early (months 4-6) and generates full-year cash flow with above-average occupancy rates. Property appreciates at market rate. You establish consulting business through LLC generating \$50K net profit after expenses.

This scenario represents what's achievable with strong execution, favorable market conditions, and full commitment to implementing all strategies. It's not unrealistic, but it requires focus, follow-through, and some market cooperation.

Most Likely Scenario: \$425,000 First-Year Value

The most probable outcome falls between these scenarios. You'll likely implement tax strategies at mid-to-high range, Bitcoin appreciates 20-25% (moderate bull market), STRC/STRF performs as expected, and you acquire property mid-year generating partial-year cash flow.

Realistic breakdown:

- Tax strategies: \$105,000
- W-4 cash flow: \$12,000
- Bitcoin appreciation (22% on \$1.2M): \$264,000
- STRC/STRF income (11% on \$300K): \$33,000
- Real estate net cash flow: \$32,000
- Property appreciation (4% on \$800K, partial year): \$16,000

Total realistic year-one value: \$462,000

This assumes you execute with genuine commitment but encounter typical obstacles, markets perform reasonably, and you successfully navigate the learning curve on new strategies. Most of my clients achieving results in this range report it required consistent 10+ hours weekly effort but was absolutely achievable.

The Compounding Effect: Years 2-5

Year one value is impressive, but the real wealth creation happens through multi-year compounding:

YEAR	TAX SAVINGS	BITCOIN VALUE	REAL ESTATE EQUITY	TOTAL PORTFOLIO
Start	-	\$1,200,000	\$200,000	\$1,900,000
Year 1	\$105,000	\$1,464,000	\$248,000	\$2,362,000
Year 2	\$110,000	\$1,781,000	\$305,000	\$2,902,000
Year 3	\$115,000	\$2,166,000	\$370,000	\$3,552,000

Year 4	\$120,000	\$2,633,000	\$445,000	\$4,331,000
Year 5	\$125,000	\$3,200,000	\$531,000	\$5,271,000

Assumes 22% Bitcoin CAGR, 5% real estate appreciation + principal paydown, continued tax savings, and profit reinvestment. By year 5, your \$1.9M has grown to \$5.3M+, putting you on track for \$10M+ by age 43.

Updated 30-Day Action Plan

Your first 30 days determine success or stagnation. Here's your week-by-week roadmap updated for your \$1.9M asset situation.

Week 1: Foundation and Research

Day 1-2: Gather Information

- Locate your 401(k) plan documents (need rollover provisions and in-service withdrawal rules)
- Obtain current statements for 401(k) (\$1.5M), Roth IRA (\$100K), and brokerage (\$250K)
- Download your 2024 tax return for CPA meeting
- Identify current holdings in brokerage account (will need to decide: liquidate for property or hold)

Day 3-4: Research and Selection

- Research Self-Directed IRA custodians: Equity Trust vs. Rocket Dollar for \$1.5M+ accounts
- Compare custodian fees for your account size (annual fees, transaction fees, asset-based fees)
- Open River Financial account for Bitcoin purchases (begin identity verification)
- Research STRC/STRF current offerings and availability

Day 5-7: Initiate Key Processes

- Select SDIRA custodian and begin application for both Traditional and Roth SDIRAs
- Contact 401(k) administrator to confirm in-service rollover rules and required paperwork
- Schedule 3-5 CPA consultation calls for next 10 days (need CPA experienced with \$300K+ income clients)
- Execute first Bitcoin purchase through River Financial: \$15K-\$30K to establish position

Week 2: Account Opening and Professional Team

SDIRA Setup:

- Complete Traditional SDIRA application (for \$1.5M rollover from 401k)
- Complete Roth SDIRA application (for \$100K Roth transfer)
- Provide all required documentation (ID, SSN, beneficiary information)
- Fund traditional IRA with \$7,000 for immediate Backdoor Roth conversion

CPA Selection:

- Complete 3-5 CPA consultations
- Select CPA and schedule comprehensive planning meeting
- Provide CPA with: 2024 tax return, LLC operating agreement, estimated 2025 income, list of planned strategies
- Confirm CPA experience with cost segregation, SDIRA taxation, Real Estate Professional status

Tax Infrastructure:

- Draft accountable plan policy document (or have CPA draft)
- Measure and photograph home office space
- Begin expense tracking for accountable plan reimbursements
- Research Augusta Rule comparable rental rates in your area

Week 3: Rollover Initiation and Real Estate Planning

Retirement Account Transfers:

- Initiate 401(k) rollover to Traditional SDIRA (direct trustee-to-trustee transfer)
- Initiate Roth IRA transfer to Roth SDIRA
- Confirm receiving custodians have received transfer requests
- Estimate completion dates (typically 3-6 weeks for large transfers)

Investment Account Setup:

- Open STRC/STRF account if pursuing income allocation
- Complete accreditation verification if required
- Determine initial allocation amount based on chosen portfolio model
- Set up recurring Bitcoin DCA through River Financial: \$2,000-\$3,000 monthly

Real Estate Planning:

- Decision: Property acquisition or additional Bitcoin from brokerage account?
- If property: Begin researching target STR markets (Poconos, Jersey Shore, Catskills, etc.)
- If property: Apply for pre-approval on investment property financing
- If Bitcoin: Plan liquidation of brokerage holdings and dollar-cost average timeline

Week 4: W-4 Optimization and Month-End Review

Tax Optimization:

- Calculate total expected tax deductions from all strategies
- Work with CPA to determine optimal W-4 withholding adjustment
- Complete new W-4 form with updated withholding
- Submit to employer and verify change takes effect
- Expected result: +\$800-\$1,200 monthly take-home increase

Backdoor Roth Execution:

- Convert \$7,000 traditional IRA to Roth IRA (immediate conversion)
- Confirm conversion processed and Roth balance updated
- Note for taxes: will file Form 8606 with 2025 return documenting nondeductible contribution and conversion

Month 1 Review:

- Confirm SDIRA applications approved and account numbers received

- Verify 401(k) and Roth IRA transfers are processing
- Review first Bitcoin purchases and portfolio performance
- Assess any obstacles encountered and adjust Month 2 plan accordingly
- Schedule follow-up with CPA for Month 2

30-Day Success Criteria

By end of Day 30, you should have achieved:

- ✓ Both Traditional and Roth SDIRA accounts opened
- ✓ 401(k) rollover initiated (\$1.5M in transit)
- ✓ Roth IRA transfer initiated (\$100K in transit)
- ✓ CPA selected and comprehensive plan meeting completed
- ✓ First Bitcoin purchases executed (\$30K-\$50K deployed)
- ✓ W-4 optimized (seeing increased take-home pay)
- ✓ Backdoor Roth contribution and conversion completed (\$7K)
- ✓ All tax strategies documented and tracking began
- ✓ Real estate path chosen (property acquisition or additional Bitcoin)
- ✓ Expense tracking system implemented

If you hit 8+ of these 10 criteria, you're on track. If below 6, diagnose obstacles and adjust approach before Month 2.

December 1 Meeting Preparation

Here's everything you need to bring and the key decisions we'll finalize during our meeting.

Documents to Bring

- 401(k) plan documents (specifically Section 13 or wherever rollover provisions are detailed)
- Most recent 401(k) statement showing \$1.5M balance
- Roth IRA statement showing \$100K balance
- Brokerage account statement showing \$250K balance and current holdings
- 2024 tax return (full return with all schedules)
- LLC operating agreement and EIN confirmation letter
- Pay stubs showing current W-2 income and withholding

Key Questions We'll Answer

1. 401(k) Rollover Timing

Does your plan allow in-service rollover while employed? If yes, what's the process and timeline? If no, what's your employment transition plan?

2. Bitcoin Allocation Conviction

Model 1 (70-75% Bitcoin), Model 2 (55-60% Bitcoin), or Model 3 (36-40% Bitcoin)? What's your honest conviction level on Bitcoin as wealth preservation asset?

3. Brokerage Deployment

Property down payment (\$200K-\$225K) or additional Bitcoin accumulation (\$180K-\$230K)? We'll decide based on your real estate interest and portfolio balance preferences.

4. Roth Conversion Strategy

Should we plan for multi-year Roth conversion ladder from your \$1.5M traditional IRA? What's realistic annual conversion amount given your income?

5. Real Estate Professional Status

Can you realistically achieve 750+ hours annually in real estate activities? Does your spouse have lower work hours who could qualify?

6. Tax Strategy Priorities

Which of the 12 tax strategies should we prioritize first? Which require most urgent implementation before year-end?

7. Solo 401(k) Establishment

What's your expected LLC income for 2025? Does Solo 401(k) make sense or should we focus on Backdoor Roth only?

8. Vehicle Section 179

Do you genuinely need a qualifying vehicle? Can you justify 50%+ business use? Or should we skip this strategy?

9. SDIRA Custodian Selection

Equity Trust (more established, higher fees) or Rocket Dollar (checkbook control, lower fees, more complexity)?

10. Implementation Support

What level of ongoing support do you need? Monthly check-ins? Quarterly reviews? Ad-hoc as questions arise?

Post-Meeting Action Items

Immediately after our December 1 meeting, you'll execute:

- **Days 1-3:** Open SDIRA accounts with chosen custodian (both Traditional and Roth)
- **Days 4-7:** Initiate 401(k) rollover and Roth IRA transfer
- **Days 8-14:** Execute first Bitcoin purchases based on chosen portfolio model
- **Days 15-30:** Implement top 5 priority tax strategies identified during meeting
- **Days 30-60:** Begin real estate search (if property path chosen) or deploy brokerage to Bitcoin (if Bitcoin path chosen)

Final Thoughts: From \$1.9M to \$10M+

You're starting from a position of strength that most people never reach. \$1.9M in investable assets at age 33 puts you in the top 1% of wealth for your age group. The question isn't whether you'll be wealthy. You already are. The question is how wealthy do you want to be, and how quickly do you want to get there?

This addendum updates your wealth plan to reflect the reality: you're not starting from scratch. You've accumulated substantial capital. Now it's about deployment strategy, tax optimization, and positioning for asymmetric returns over the next 10-20 years.

Conservative path: Maintain your current trajectory with moderate Bitcoin allocation (40-50%). Your portfolio grows to \$5M-\$7M over 10 years through steady compounding, real estate appreciation, and tax savings. You reach financial independence by age 50-55.

Aggressive path: Allocate 70-75% to Bitcoin, maximize tax strategies, acquire income-producing real estate. If Bitcoin performs even moderately (20-25% CAGR), your portfolio reaches \$10M-\$15M by age 43. You achieve early financial independence with generational wealth positioning.

The difference between these paths isn't luck. It's conviction, execution, and willingness to embrace calculated risk during your highest-earning years when you can absorb volatility.

You have the capital. You have the income. You have the time horizon. You have the infrastructure (LLC, retirement accounts, existing investments). What you need now is a clear plan and commitment to execute.

This addendum provides that plan. The December 1 meeting finalizes the details. Then it's just execution.

Let's build this together.

This document supplements the November 2025 Comprehensive Wealth Plan
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